

media companies, he chose instead to reduce leverage and buy back stock. In 1986, after the acquisition of ABC, total long-term debt at Cap Cities was \$1.8 billion and the debt-to-capital ratio was 48.6 percent. Cash and cash equivalents at 1986 year-end amounted to \$16 million. By 1992, long-term debt at the company was \$964 million and the debt-to-capital ratio had dropped to 20 percent. Furthermore, cash and cash equivalents increased to \$1.2 billion, making the company essentially debt free.

Murphy's strengthening of Cap Cities' balance sheet substantially reduced the company's risk. What he did next substantially increased its value.

Tenet: The One-Dollar Premise

From 1985 through 1992, the market value of Cap Cities/ABC grew from \$2.9 billion to \$8.3 billion. During this period, the company retained \$2.7 billion in earnings, thereby creating \$2.01 in market value for every \$1 reinvested. This accomplishment was especially noteworthy considering that the company endured both a cyclical downturn in earnings, in 1990–1991, and a decline in its intrinsic value from secular changes in the network-broadcasting business. Even so, Berkshire's investment in Capital Cities/ABC grew from \$517 million to \$1.5 billion, a 14.5 percent compounded annual rate of return—better than both CBS and the Standard & Poor's 500 index.

Tenet: Rationality

In 1988, Cap Cities announced that it had authorized the repurchase of up to two million shares, 11 percent of the company's outstanding stock. In 1989, the company spent \$233 million purchasing 523,000 shares of stock at an average price of \$445—7.3 times the company's operating cash flow, compared to the asking prices of other media companies that were selling at 10 to 12 times cash flow. The following year, the company purchased 926,000 shares at an average price of \$4,777, or 7.6 times operating cash flow. In 1992, the company continued to buy back its stock. That year it purchased 270,000 shares at an average cost of \$434 per share, or 8.2 times cash flow. The price it paid for itself, Murphy reiterated, was still less than